FIA Individual Research Report: Ford (F-US) Financial Forecast

Denise Lin

1. Reflect on Your Favorite Exercise

I found the financial forecasting exercise the most interesting, because it requires many judgments to be made about each of the assumptions, which has a significant impact on the resulting forecast numbers. I expected financial forecasting to be quite objective, but it's very subjective based on the decisions of the person performing the analysis. My group project was on Dropbox; in the case of Dropbox, assumptions regarding operational costs had an outsized effect on the analysis. Because of very high operational costs, a 1% decrease in revenue had an outsized effect on EBITDA decrease.

With the financial forecasting exercise, I learned how to build assumptions and triangulate between a bottoms up analysis, street consensus numbers, and other research about the given company and industry. For this individual research report, I completed a forecast for Ford. Automotive manufacturing is very expensive, and Cost of Goods Sold as a percentage of revenue is a critical assumption in the analysis. Historical COGS / % Revenue has ranged from 86-88% in the past few years. Consensus sat at 77% for the 2026 forecast, but this seemed way too optimistic for me; I selected 85% to consider the efforts management is making in increasing efficiencies, without falling too much outside of the demonstrated historical range. My assumption led to a projected forecast EBITDA of about $14 billion for 2026. If I had gone with the street assumption, I would have landed at $29 billion, which is not really justifiable, as it is almost 3.5x the previous year's EBITDA.

Figure 1: EBITDA Using Different COGS Assumptions, in millions of U.S. Dollars and Percentages

Financial Forecast - Ford Motor Co.									
F-US	**12/2022**	**12/2023**	**12/2024**	**12/2025**	**12/2026**	**12/2027**	**12/2028**	**12/2029**	**12/2030**
COGS as % of Sales	84.1%	86.2%	87.3%	87.8%	85.0%	85.0%	85.0%	85.0%	85.0%
EBITDA	12,902	11,931	10,985	8,559	14,045	14,526	15,010	15,498	15,992

F-US	**12/2022**	**12/2023**	**12/2024**	**12/2025**	**12/2026**	**12/2027**	**12/2028**	**12/2029**	**12/2030**
COGS as % of Sales	84.1%	86.2%	87.3%	87.8%	77.0%	77.0%	77.0%	77.0%	77.0%
EBITDA	12,902	11,931	10,985	8,559	29,425	30,316	31,221	32,141	33,078

Aside from assumptions, a challenge of financial forecasting is finding the correct financial information to use. Different companies present financial statements differently. In the case of Ford, for example, multiple items were bundled in the SG&A line item in the income statement provided by Factset. I had to download Ford's 10-k to find the correct line items to use for the analysis.

Based on my learnings in the class, I believe the following two concepts are the most important for real-world financial decision-making:

- Identify which parameters have the largest impact on financial analyses, based on the company and industry, and double-check accuracy of those parameters.
- Use the movement of these parameters as a basis for financial forecasting.
- Use multiple perspectives, for example, a bottoms-up analysis vs. street consensus vs. company reports to triangulate your analysis.

2. Real World Application

An investor can track the movement of key parameters of a company (for example: COGS, Revenue, or Free Cash Flow) to hypothesize whether the company is going in a positive direction, with potential stock market gains, or in a negative direction, with potential stock market losses. A recently published Yahoo Finance news story has quotes from Ford Motor Company's CEO Jim Farley, stating that the company is experiencing severe labor shortages. An investor can deduce that this will give workers more leverage in negotiating wages, therefore increasing Ford's costs. This will reduce Ford's net income and reduce earnings per share, creating downward pressure on Ford's stock price. An investor would need to look at this compared with potential mitigating factors, for example, potential increases in revenue, to decide whether they believe the stock price will increase or decrease.

A manager can make business decisions to try to drive key parameters in a positive direction. In Ford's case, the focus of management is on reducing costs and increasing efficiencies. A recent Motortrend article reports on several changes Ford is making to try to increase efficiencies. For example, Ford is restructuring several divisions into a single Product Creation and Industrialization organization; in addition, several executive staff are either being promoted or leaving Ford because of this decision. Ford stated in a self-published announcement that it is targeting an ambitious 8% EBIT margin by 2029. EBIT margin has landed from 1.4% - 4.1% over the past four years.

Figure 2: Ford EBIT Margin 2022-2025, in millions of U.S. Dollars and Percentages

Financial Forecast - Ford Motor Co.				
F-US	**12/2022**	**12/2023**	**12/2024**	**12/2025**
Sales	158,057	176,191	184,992	187,267
EBIT (Operating Income)	6,409	5,408	5,118	2,564
% EBIT / Revenue	4.1%	3.1%	2.8%	1.4%

Different industries have different ratios, including EBIT margin and Gross Margin. According to New York University Stern School of Business, automotive companies tend to have a gross margin of about 10%. Other industries can have average a much higher gross margin, for example 72% for pharmaceutical companies and 57% for apparel companies.

The main challenge with applying concepts from the course regarding financial forecasting outside of the classroom is the presence of uncertainty and surprises. Unexpected political changes and wars have large impacts on companies' earnings and their stock prices that can't be predicted. Market conditions, on the other hand, are largely driven by factors such as interest rates set by the Federal Reserve. While there is some speculation prior to interest rate decisions, there is still uncertainty in final rates that needs to be considered. Smaller companies or companies in nascent industries are also more unpredictable in terms of financial forecasting, because less data exists on them. Mature companies with many comparable peers are easier to analyze for forecasting and valuation.

3. Deepen Your Reflection

Ford is generally in line with its peers regarding SG&A and R&D expenses as a percentage of sales. Cost of Goods Sold does look like a sensible place for it to focus on improving performance. I would advise Ford's management to look at its various sectors – including gas, hybrid, and fully electric models, and focus on improving or removing underperforming, unprofitable product lines. Ford noted in early 2026 that its electric vehicle division has lost $4.8 billion. It does look like the company is addressing this by strategically investing in more hybrid vehicles, which are more efficient than gas vehicles but aren't entirely dependent on electricity for energy.

While this appears to be a sensible move, Ford management should recognize that a change in federal administration could potentially cause a surge in demand for EVs. The Trump administration repealed the federal electric vehicle tax credit, but a future administration could bring them back, making EVs more economical and increasing EV sales. Furthermore, current world conflicts such as the war in Iran are increasing the cost of fossil fuels, putting upward pressure on the operational costs for gas vehicles and making EVs more attractive.

Ford publishes its data by segment: Ford Blue (traditional gas vehicles), Ford Model e (full battery-electric vehicles), Ford Pro (commercial vehicles), and Ford Credit. Looking at these segments, it's clear that Ford Model e is a loss-making segment. However, it'd be helpful to have more data breaking down earnings by specific model, for example: Ford Mach-E, F-150 Lightning, and other EVs, to discern whether some vehicles were performing better than others.

Figure 3: Ford Revenues and Earnings Before Tax by Segment, in millions of U.S. dollars:

Ford Vehicle Segment Information 2025				
Segment	Tot. Revenues	% of Total	EBT	% of Total
Ford Blue	145,928	65.8%	3,024	39.7%
Ford Model e	7,166	3.2%	(4,806)	-63.1%
Ford Pro	66,286	29.9%	6,843	89.8%
Ford Credit	2,557	1.2%	2,557	33.6%
Total	221,937	100.0%	7,618	100.0%

If I were speaking with stakeholders who may not have a finance background, I would identify benchmarks to convey the significance of certain metrics in the financial forecast. For example, EBIT margin in itself may not be interesting or sound significant, but comparing Ford's margin with those of its major competitors can help tell a story of how the company is doing. I would also provide context for how the company has performed over time, connecting any major changes in Ford's earnings with potential causes (for example: regulatory changes or market dynamics) to convey how Ford's performance is tied with these factors.

4. <u>Summarize Key Takeaways</u>

The most valuable lesson I will take away is to not necessarily take research reports/opinions of Wall Street analysts at face value. It's important to dig into the assumptions being made and see if you agree or disagree with them. At the same time, street consensus is a helpful "gut check" or counterpoint; if your opinion differs from street consensus, you need to be able to back it up with data and a hypothesis.

I can continue to develop my skills in financial analysis and valuation by tracking financial statements and research reports. The course was good practice in finding these sources of information. I am now more comfortable with navigating 10-ks and financial statements and would like to dig into the details of companies that I am investing in or just interested in.

I would like to further explore DCF and relative valuation methods. My takeaway from the course is that both categories are useful but that they can yield results that vary very widely. I'd like to become better at deciding which valuation methods to weight more in various valuation situations.

Appendix

Sources:

- https://finance.yahoo.com/economy/articles/most-vulnerable-ve-ever-ford-104500815.html
- https://www.fromtheroad.ford.com/us/en/articles/2026/ford-establishes-product-creation-industrialization-organization
- https://www.motortrend.com/news/ford-restructuring-ev-software-defined-vehicles-2026
- https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/margin.html
- https://finance.yahoo.com/news/america-ready-ev-cars-ford-230923033.html
- https://www.fromtheroad.ford.com/us/en/articles/2025/ford-reinvests-trucks-hybrids-affordable-electric-vehicles
- https://www.edmunds.com/fuel-economy/the-ins-and-outs-of-electric-vehicle-tax-credits.html
- https://www.cbsnews.com/news/iran-war-economic-impact-gas-prices-inflation-2026/